

the advice is supplied by a bond salesman whose livelihood depends upon persuading his customers to buy the securities that his firm has "on its shelves." It is true that the reputable underwriting houses consider themselves as bound in some degree by a fiduciary responsibility toward their clients. The endeavor to give them sound advice and to sell them suitable securities arises not only from the dictates of good business practice but more compellingly from the obligations of a professional code of ethics.

Nevertheless, the sale of securities is not a profession but a business and is necessarily carried on as such. Although in the typical transaction it is to the advantage of the seller to give the buyer full value and satisfaction, conditions may arise in which their interests are in serious conflict. Hence it is impracticable, and in a sense unfair, to require investment banking houses to act as impartial advisers to buyers of securities; and, broadly speaking, it is unwise for the investor to rely primarily upon the advice of sellers of securities.

*Advice from New York Stock Exchange Firms.* The investment departments of the large Stock Exchange firms present a somewhat different picture. Although they also have a pecuniary interest in the transactions of their customers, their advice is much more likely to be painstaking and thoroughly impartial. Stock Exchange houses do not ordinarily own securities for sale. Although at times they participate in selling operations, which carry larger allowances than the ordinary market commission, their interest in pushing such individual issues is less vital than that of the underwriting houses who actually own them. At bottom, the investment business or bond department of Stock Exchange firms is perhaps more important to them as a badge of respectability than for the profits it yields. Attacks made upon them as agencies of speculation may be answered in part by pointing to the necessary services that they render to conservative investors. Consequently, the investor who consults a large Stock Exchange firm regarding a small bond purchase is likely to receive time and attention out of all proportion to the commission involved. Admittedly this practice is found profitable in the end, as a cold business proposition, because a certain proportion of the bond customers later develop into active stock traders. In behalf of the Stock Exchange houses it should be said that they make no effort to persuade their bond clients to speculate in stocks, but the atmosphere of a brokerage office is perhaps not without its seductive influence.